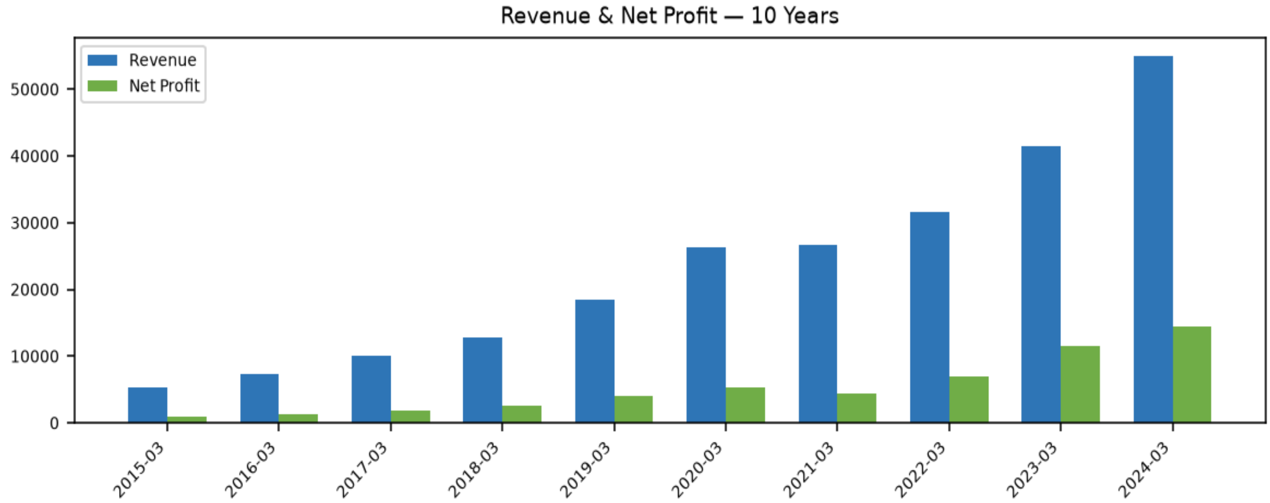
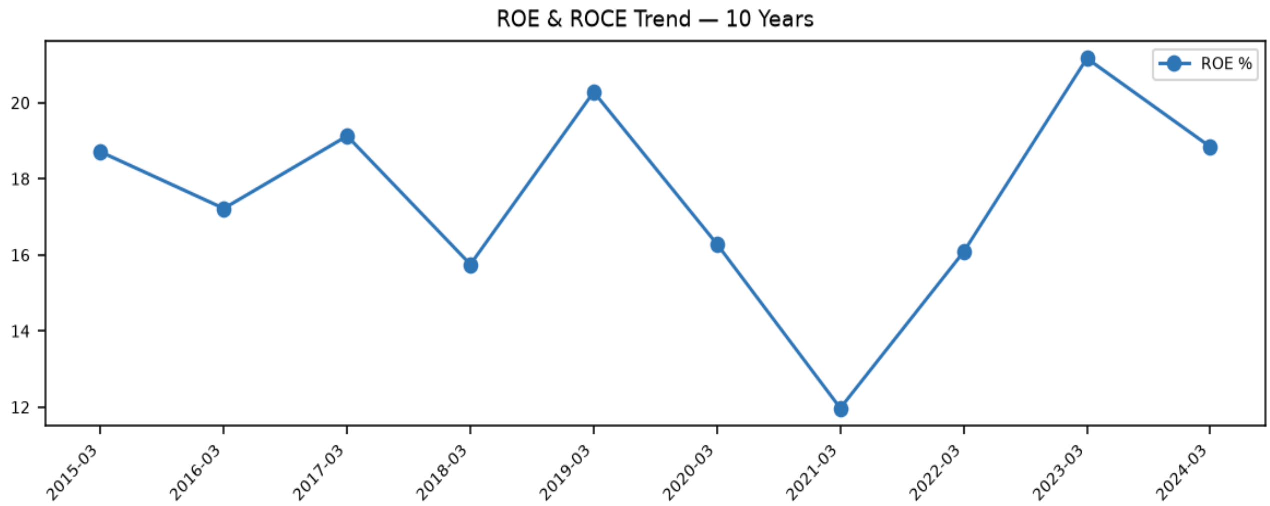
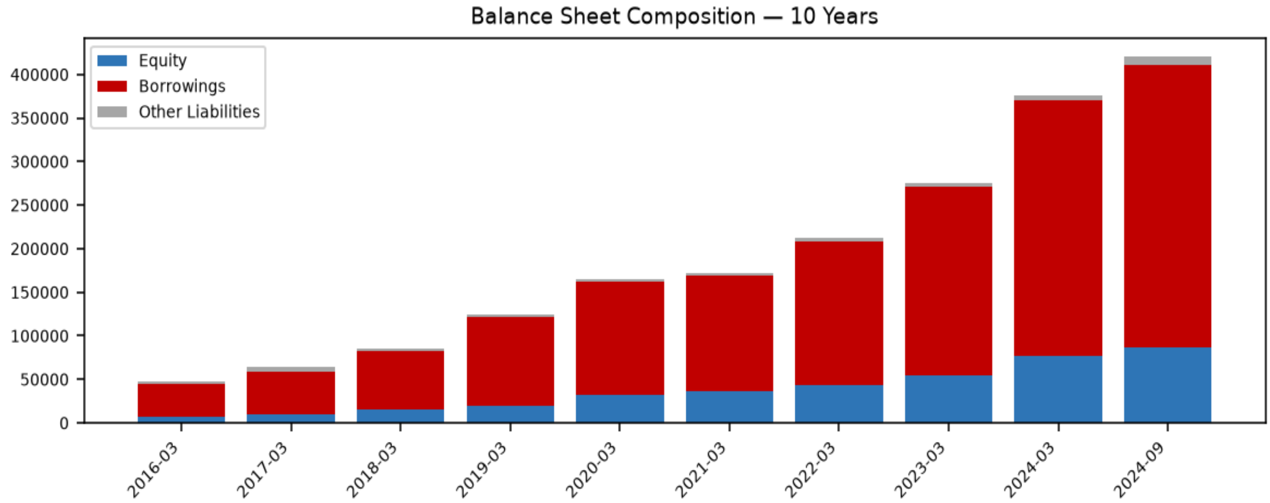
# Bajaj Finance Ltd (BAJFINANCE)

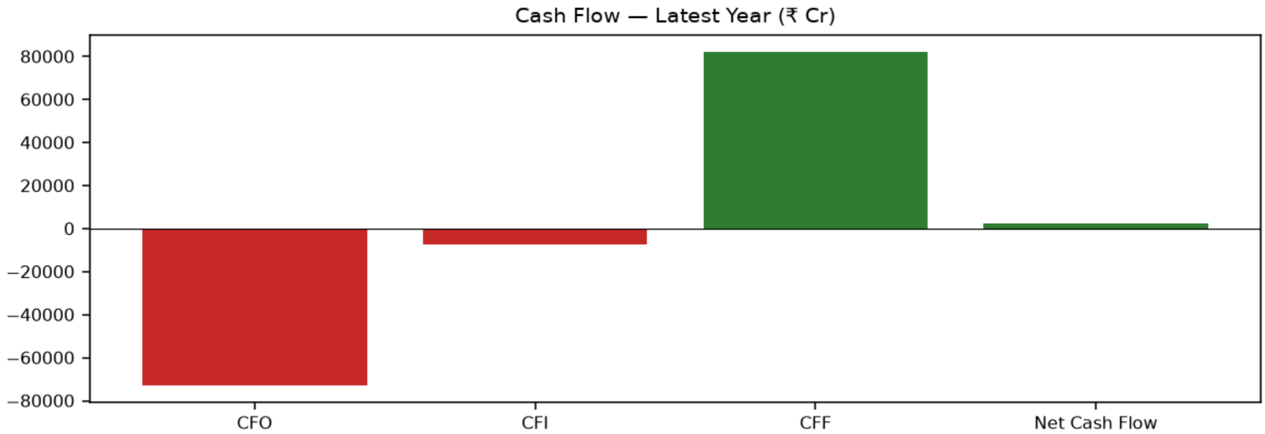
Sector: Financials

| ROE | ROCE | NPM |
|---|---|---|
| **18.84%** | **N/A** | **26.29%** |
| D/E | Revenue CAGR 5yr | FCF (■ Cr) |
| **3.82** | **24.35%** | **-79931.00** |






## *Pros*

✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

## *Cons*

✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure

## Capital Allocation: Growth Funded by Debt